

and that often involves price wars, with every player wanting a chunk of the pie. Product R&D is about lower success rates and working with customers for 10 years, if not more. “We understand the product, its evolution and the people. That leads to high levels of stickiness with the customer, whose primary objective is quality delivered on time. Our incremental premium is that assurance apart from possessing the ability to anticipate a situation.” Pai says an 80 per cent utilisation rate for his company is “very, very good” but for an IT major, it has to be upwards of 90 per cent. Plus, the company ends up investing a lot of money in training—which is expensive and requires a lot of time. That means, to understand the business

getting to a 100 per cent accuracy in his business. “We put in a lot of effort behind WiMax but the world moved to 4G. That is the nature of technological disruption and you have to be ready for it.”

Investing well ahead of time is a key part of the company’s way of going about its business. Raghavan explains that its capabilities of today lay the base for a better tomorrow. “Our intention is to collaborate with the customers and not compete with them. The idea is to bring in solutions in a proactive manner.” Prasad of HDFC Securities says Tata Elxsi’s growth is expected to be a function of the large and growing R&D pool with a significant total addressable market. In the case of automotive R&D, he says the global

60 |



“ We are not a typical IT firm. We are a focussed player in the ER&D space with the good part being that we don’t try to hit every nail with a hammer”

MANOJ RAGHAVAN
CEO AND MANAGING DIRECTOR,
TATA ELXSI



“ We understand the product, its evolution and the people. That leads to stickiness with the customer, whose key objective is quality delivered on time”

NITIN PAI
CMO AND CHIEF STRATEGY OFFICER,
TATA ELXSI

of Tata Elxsi well, one needs to take a more long-term view with parameters such as market share and margins. At least 95 per cent of the business comes from existing customers as the new ones take time to develop a sense of confidence to commit budgets, a process that typically takes a few quarters.

Not everything always works to plan owing to the time involved, and there are instances where some factors are not always within the company’s control. For example, 3D television was a big story at one point. “The technology needed did not expand, nor was content able to build up a great story. This business is about living with volatility and we are always building the now and that often makes demand prediction a challenge,” says Pai. For that matter, the autonomous car story is one that has been in the works for a while, with no surety on how it will eventually play out. Raghavan is blunt when he speaks of never



On the competitive landscape, Tata Elxsi—that was set up in the late 1980s—has the **benefit of its pedigree, an early-mover advantage, plus the ability to showcase its projects**